

Amana Takaful PLC

Interim Report

31 December 2022



STATEMENT OF FINANCIAL POSITION

AS AT	Notes	Group		Company	
		Unaudited as at 31.12.2022	Unaudited as at 31.12.2021	Unaudited as at 31.12.2022	Unaudited as at 31.12.2021 Restated
		Rs.	Rs.	Rs.	Rs.
ASSETS					
Intangible Assets		175,294,296	120,834,732	29,106,878	29,844,615
Property, Plant and Equipment		94,237,007	88,131,244	44,694,162	45,917,040
Right of use of Lease assets	3	371,942,315	250,045,444	7,073,008	21,550,355
Deferred Tax Asset	13	18,185,852	10,038,460	-	-
Investment Property		147,500,000	196,100,000	-	48,600,000
Investment in Subsidiary		-	-	2,143,480,936	1,124,154,184
Financial Assets	4	7,092,462,169	3,934,917,715	1,373,262,294	1,046,608,773
Financial Assets - Unit Linked	5	2,426,521,530	2,121,644,837	-	-
Retakaful (Reinsurance) Receivables		368,157,793	412,484,080	197,567,498	270,935,900
Contribution (Premium) Receivable		1,355,473,687	991,944,876	1,021,764,011	767,089,545
Other Assets		388,373,042	264,905,169	118,072,311	120,532,940
Cash and Bank Balances	11	216,470,881	166,961,978	66,797,456	48,157,021
Cash and Bank Balances - Unit Linked	11	15,841,002	9,583,462	-	-
Total Assets		12,670,459,574	8,567,591,998	5,001,818,554	3,523,390,373
LIABILITIES					
Insurance Contract Liabilities - Non Life		2,655,121,050	1,636,432,694	1,068,900,965	906,281,586
Insurance Contract Liabilities - Family Takaful Fund		364,342,944	397,380,854	-	-
Insurance Contract Liabilities- Family Takaful Unit Linked		2,466,292,845	2,149,698,432	-	-
Employee Benefits		158,644,470	119,528,552	51,898,474	54,511,610
Subordinated Debt		444,135,750	379,157,034	457,154,819	429,026,522
Other Liabilities - Unit Linked		118,930,337	80,207,746	-	-
Other Liabilities		2,090,298,510	1,290,699,641	680,929,757	500,065,993
Lease Liability	3	166,103,010	123,837,659	7,510,245	22,426,056
Total Liabilities		8,463,868,916	6,176,942,613	2,266,394,259	1,912,311,766
SHAREHOLDERS' EQUITY					
Stated Capital	21	1,860,001,339	1,860,001,339	1,860,001,339	1,860,001,339
Other Reserves		881,612,009	214,964,197	33,541,361	33,541,361
Revenue Reserves		31,669,490	(361,634,798)	841,881,595	(282,464,092)
		2,773,282,837	1,713,330,738	2,735,424,294	1,611,078,607
Non Controlling Interest		1,433,307,821	677,318,647	-	-
Total Equity		4,206,590,658	2,390,649,385	2,735,424,294	1,611,078,607
Total Liabilities and Equity		12,670,459,574	8,567,591,998	5,001,818,554	3,523,390,373

The notes form an integral part of the Financial Statements.

We certify that the preparation and presentation of these Financial Statements comply with the requirements under Companies Act, No. 07 of 2007.

Signed

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M. Rinaz Niyas
Head of Finance

Signed for and on behalf of the Board

Signed

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Shehan Feisal
Chief Executive Officer

Signed

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Director

Colombo
28 February 2023

Signed

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Director

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER	Notes	Group			Company		
		Unaudited 2022	Unaudited 2021	Change	Unaudited 2022	Unaudited 2021 Restated Rs.	Change
		Rs.	Rs.	%	Rs.		%
Gross Written Contribution (Premium)	6	8,258,924,281	5,178,592,376	59%	3,358,935,166	2,443,290,012	37%
Retakaful Contribution (Reinsurance Premium)		(2,086,328,262)	(1,234,273,694)	-69%	(1,144,777,587)	(739,494,217)	-55%
Net Written Contribution (Premium)		6,172,596,019	3,944,318,683	56%	2,214,157,579	1,703,795,794	30%
Net Change in Reserve for Un-Earned Contribution (Premium)		(385,035,033)	(245,584,258)	-57%	(153,626,231)	(97,661,962)	-57%
Net Earned Contribution (Premium)		5,787,560,985	3,698,734,424	56%	2,060,531,347	1,606,133,832	28%
Other Revenue							
Income from investments		710,127,910	360,762,572	97%	149,932,576	113,829,769	32%
Change in Fair Value of Investment in Subsidiaries		-	-	0%	255,824,286	144,739,157	77%
Other income		441,105,046	211,570,708	108%	225,257,048	59,619,590	278%
Total Revenue	7	6,938,793,941	4,271,067,704	62%	2,691,545,258	1,924,322,348	40%
Benefits, Losses and Expenses							
Takaful (Insurance) claims and benefits		(3,699,654,123)	(1,924,002,208)	-92%	(1,330,783,321)	(871,961,687)	-53%
Acquisition Cost (net of reinsurance commission)		(533,886,112)	(377,188,308)	-42%	(164,681,155)	(133,060,368)	-24%
Change in Family Takaful Contract Liability		(291,402,866)	(184,031,172)	-58%	-	-	-
Other Operating and Administration Expenses		(1,746,524,942)	(1,359,830,445)	-28%	(776,804,059)	(657,844,309)	-18%
Depreciation		(73,043,549)	(63,784,468)	-15%	(19,309,300)	(27,400,972)	30%
Total Claims, Benefits and Expenses		(6,344,511,593)	(3,908,836,601)	-62%	(2,291,577,835)	(1,690,267,336)	-36%
Profit from Operations		594,282,349	362,231,103	64%	399,967,423	234,055,012	71%
Finance cost		(65,778,971)	(49,267,743)	-34%	(52,788,708)	(40,807,326)	-29%
Profit / (Loss) Before Taxation	10	528,503,377	312,963,360	69%	347,178,716	193,247,686	80%
Income Tax Expenses	12	(60,517,073)	(36,806,795)	-64%	-	-	-
Net Profit / (Loss) for the Year		467,986,304	276,156,565	69%	347,178,716	193,247,686	80%
Attributable to:							
Equity holders of the parent		Rs 284,825,751	Rs 164,566,886				
Non-Controlling Interest		183,160,553	111,589,678				
		467,986,304	276,156,565				
Basic, Diluted Earnings Per Share		Rs 1.58	Rs 0.91	73%	Rs 1.93	Rs 1.07	80%
Dividend per share		-	-	-	-	-	-
Interim dividend paid per share		-	-	-	-	-	-
Final proposed dividend per share		-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 DECEMBER		Group			Company		
		Unaudited 2022	Unaudited 2021	Change	Unaudited 2022	Unaudited 2021 Restated Rs.	Change
		Rs.	Rs.	%	Rs.		%
Profit / (Loss) for the year		467,986,304	276,156,565	69%	347,178,716	193,247,686	80%
Change in Fair Value of Available for Sale Financial Assets		172,048,454	(42,234,705)	507%	4,879,463	1,400,614	248%
Change in Fair Value of Investment in Subsidiaries		-	-	0%	763,502,466	35,525,832	2049%
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve		5,091,579	5,399,129	-6%	-	-	-
Defined Benefit Plan Actuarial Losses		9,661,519	(20,138,554)	148%	8,785,042	(20,222,797)	143%
Net Change from revaluation of Property plant and equipment		-	14,645,575	-100%	-	5,091,000	-100%
Foreign Currency Translation Differences for Foreign Operations		1,212,086,929	85,725,505	1314%	-	-	-
Total Comprehensive Income for the period		1,866,874,785	319,553,514	484%	1,124,345,687	215,042,335	423%
Attributable to:							
Equity holders of the parent		1,062,147,859	188,082,517				
Non-Controlling Interest		804,726,926	131,470,997				
		1,866,874,785	319,553,514				

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 31 DECEMBER	Group			Company		
	Unaudited 2022	Unaudited 2021	Change	Unaudited 2022	Unaudited 2021 Restated	Change
	Rs.	Rs.	%	Rs.	Rs.	%
Gross Written Contribution (Premium)	1,893,377,972	1,349,977,656	40%	811,953,023	696,635,123	17%
Retakaful Contribution (Reinsurance Premium)	(503,599,774)	(297,621,904)	-69%	(290,666,570)	(165,829,471)	-75%
Net Written Contribution (Premium)	1,389,778,198	1,052,355,752	32%	521,286,453	530,805,652	-2%
Net Change in Reserve for Un-Earned Contribution (Premium)	145,911,887	(2,270,726)	-6526%	(2,047,509)	(45,569,109)	96%
Net Earned Contribution (Premium)	1,535,690,085	1,050,085,026	46%	519,238,944	485,236,543	7%
Other Revenue						
Income from investments	245,175,475	125,407,768	96%	77,400,557	47,996,956	61%
Change in Fair Value of Investment in Subsidiaries	-	-	0%	255,824,286	144,739,157	77%
Other income	73,573,873	74,069,845	-1%	15,605,107	40,096,310	-61%
Total Revenue	1,854,439,433	1,249,562,638	48%	868,068,894	718,068,966	21%
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits	(1,202,803,947)	(659,347,364)	-82%	(430,321,456)	(297,837,577)	-44%
Acquisition Cost (net of reinsurance commission)	(151,687,587)	(114,615,354)	-32%	(24,757,437)	(36,458,404)	32%
Change in Family Takaful Contract Liability	(98,537,984)	(37,759,706)	-161%	-	-	-
Other Operating and Administration Expenses	(451,089,168)	(361,164,996)	-25%	(178,110,552)	(188,341,036)	5%
Depreciation	(21,684,361)	(29,174,308)	26%	(4,827,325)	(12,787,892)	62%
Total Claims, Benefits and Expenses	(1,925,803,047)	(1,202,061,728)	-60%	(638,016,770)	(535,424,910)	-19%
Profit / (Loss) from Operations	(71,363,614)	47,500,910	-250%	230,052,124	182,644,056	-26%
Finance cost	(17,419,667)	(15,583,507)	-12%	(13,154,102)	(13,789,467)	5%
Profit / (Loss) Before Taxation	(88,783,281)	31,917,403	-378%	216,898,022	168,854,589	28%
Income Tax Expenses	3,300,493	(6,707,882)	149%	-	-	-
Net Profit / (Loss) for the Period	(85,482,788)	25,209,521	-439%	216,898,022	168,854,589	28%
Attributable to:	Rs	Rs				
Equity holders of the parent	(83,981,505)	19,283,186				
Non-Controlling Interest	(1,501,283)	5,926,335				
	(85,482,788)	25,209,521				
Basic, Diluted Earnings Per Share	Rs (0.47)	Rs 0.11	-536%	Rs 1.20	Rs 0.94	28%
Dividend per share	-	-	-	-	-	-
Interim dividend paid per share	-	-	-	-	-	-
Final proposed dividend per share	-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 31 DECEMBER	Group			Company		
	Unaudited 2022	Unaudited 2021	Change	Unaudited 2022	Unaudited 2021 Restated	Change
	Rs.	Rs.	%	Rs.	Rs.	%
Other Comprehensive Income						
Profit/(Loss) for the period	(85,482,788)	25,209,521	-439%	216,898,022	168,854,589	28%
Change in Fair Value of Available for Sale Financial Assets	(29,150,216)	15,527,802	-288%	1,755,025	1,400,614	25%
Change in Fair Value of Investment in Subsidiaries				763,502,466	35,525,832	2049%
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	1,760,501	1,579,440	11%	-	-	-
Defined Benefit Plan Actuarial Losses	9,661,519	(4,459,358)	317%	8,785,042	(4,543,601)	293%
Foreign Currency Translation Differences for Foreign Operations	643,783	(177,980)	462%	-	-	-
Total Comprehensive Income / (Loss) for the period	(102,567,201)	37,679,425	-372%	990,940,556	201,237,435	392%
Attributable to:						
Equity holders of the parent	(87,759,870)	25,196,385				
Non-Controlling Interest	(14,807,331)	12,483,039				
	(102,567,201)	37,679,425				

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER

	Other Reserves			Revenue Reserves		Non Controlling Interest	Total Equity
	Stated Capital	Revaluation Reserve	Translation Reserve	Available For Sale Reserve	Policy Holder's Rserve	Accumulated Losses	
	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)
Balance as at 1st January 2021	1,860,001,339	30,806,332	122,390,856	90,580,572	6,616,125	(585,147,004)	2,095,747,108
Net Profit for the period	-	-	-	-	-	164,566,886	276,156,565
Net Change in Fair Value of Property, plant & equipment	-	14,645,575	-	-	-	-	14,645,575
Foreign Currency Translation Difference	-	-	47,149,028	-	-	-	85,725,505
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	4,443,483	-	5,399,129
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	(22,598,811)	-	-	(42,234,705)
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	(20,123,643)	(20,138,554)
Total Comprehensive Income	-	14,645,575	47,149,028	(22,598,811)	4,443,483	144,443,243	319,553,514
Transfer of revaluation surplus to retained earnings, at the disposal	-	(27,593)	-	-	-	27,593	-
Dividend Distributed	-	-	-	-	-	-	(24,651,238)
Total Changes in Ownership Interests	-	(27,593)	-	-	-	27,593	(24,651,238)
Balance as at 31st December 2021	1,860,001,339	45,424,314	169,539,884	67,981,761	11,059,608	(440,676,168)	2,390,649,385
Net Profit for the year	-	-	-	-	-	284,825,751	467,986,304
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	94,626,650	-	-	172,048,454
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	4,190,369	-	5,091,579
Foreign Currency Translation Difference	-	-	666,647,811	-	-	-	1,212,086,929
Total Comprehensive Income	-	-	666,647,811	94,626,650	4,190,369	294,487,270	1,866,874,863
Dividend Distributed	-	-	-	-	-	-	(50,933,590)
Total changes in ownership interests	-	-	-	-	-	-	(50,933,590)
Balance as at 31st December 2022	1,860,001,339	45,424,314	836,187,695	162,608,410	15,249,977	(146,188,897)	4,206,590,658

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER

	Stated Capital (Rs)	Other Reserves	Revenue Reserves		Total Equity (Rs)
		Revaluation Reserve (Rs)	Accumulated Profit/ (Losses) Restated (Rs)	Available For Sale Reserve (Rs)	
Balance as at 1st January 2021	1,860,001,339	28,477,953	(508,462,933)	16,019,913	1,396,036,272
Net Profit/ (Loss) for the period	-	-	193,247,686	-	193,247,686
Defined Benefit Plan Actuarial Losses	-	-	(20,222,797)	-	(20,222,797)
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	1,400,614	1,400,614
Change in Fair Value of Investment in Subsidiaries	-	-	-	35,525,832	35,525,832
Transfer from the Revaluation Reserve	-	(27,593)	27,593	-	-
Net Change in Revaluation of Property, plant and equipment	-	5,091,000	-	-	5,091,000
Total Comprehensive Income	-	5,063,407	173,052,482	36,926,446	215,042,335
Balance as at 31st December 2021	1,860,001,339	33,541,361	(335,410,451)	52,946,359	1,611,078,607
Net Profit/ (Loss) for the year	-	-	347,178,716	-	347,178,716
Defined Benefit Plan Actuarial Losses	-	-	8,785,042	-	8,785,042
Change in Fair Value of Investment in Subsidiaries	-	-	-	763,502,466	763,502,466
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	4,879,463	4,879,463
Total Comprehensive Income	-	-	355,963,758	768,381,929	1,124,345,687
Balance as at 31st December 2022	1,860,001,339	33,541,361	20,553,307	821,328,288	2,735,424,294

CASH FLOW STATEMENT

FOR THE YEAR ENDED 31 DECEMBER	Group		Company	
	Unaudited 2022	Unaudited 2021	Unaudited 2022	Unaudited 2021 Restated
	Rs	Rs	Rs	Rs
Cash Flows from Operating Activities				
Contribution (Premium) received from customers	9,079,704,790	4,825,840,421	3,609,147,300	2,375,360,000
Retakaful (Reinsurance) Premium paid	(1,781,906,649)	(1,051,323,616)	(909,461,892)	(478,120,101)
Claims, Benefits and Expenses paid	(3,918,258,733)	(1,820,060,206)	(1,490,128,934)	(1,020,084,573)
Retakaful (Reinsurance) Receipts in respect of Claims	298,073,817	392,924,495	217,057,133	295,588,486
Cash paid to and behalf of Employees	(1,513,346,878)	(1,068,517,187)	(826,916,606)	(667,854,884)
Profits received from Investments and Other Income	881,068,038	408,827,970	152,757,213	57,439,754
Dividends received	108,974,701	21,377,374	62,252,165	14,297,921
Finance Cost paid	(65,778,971)	(55,896,111)	(52,788,708)	(40,807,326)
Other operating cash receipts/ (payments)	(1,148,281,211)	(851,791,349)	(598,656,294)	(427,201,137)
Cash Flow from/(used in) Operating Activities (Note A)	1,940,248,904	801,381,791	163,261,378	108,618,140
Gratuity Paid	(7,704,866)	(9,423,151)	(4,828,097)	(4,152,703)
Income Tax Paid	(60,517,073)	(46,788,452)	-	-
Net Cash Flow from/(used in) Operating Activities	1,872,026,964	745,170,187	158,433,281	104,465,437
Cash Flows from/(used in) Investing Activities				
Purchase of Financial Assets	(3,784,487,672)	(1,916,846,410)	(1,358,172,189)	(556,900,578)
Sale of Financial Assets	2,563,088,123	1,309,454,666	1,095,268,956	418,332,073
Purchase of Intangible Assets	(4,951,860)	(15,120,272)	(1,370,814)	(3,524,743)
Purchase of Property, Plant & Equipment	(30,401,288)	(30,984,511)	(10,987,114)	(18,456,249)
Proceeds from Disposal of Property, Plant & Equipment	-	324,150	-	46,608
Net Cash Flow used in Investing Activities	(1,208,152,697)	(653,172,377)	(226,661,161)	(160,502,889)
Cash Flows from Financing Activities				
Repayment of Lease Facility	(40,167,073)	(36,029,439)	(17,467,211)	(18,204,757)
Subordinated Debt Obtained	-	300,000,000	-	300,000,000
Repayments of Subordinated Debt	(75,000,000)	(140,000,000)	(75,000,000)	(140,000,000)
Dividend Paid	(113,185,755)	(54,780,528)	-	-
Net cash flows from financing activities	(228,352,828)	69,190,033	(92,467,211)	141,795,243
Increase/(Decrease) in Cash and Cash Equivalents (Note B)	435,521,440	161,187,843	(160,695,091)	85,757,791

NOTE A
Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

Profit/ (Loss) from Operations	594,282,349	362,231,103	399,967,423	234,055,012
Depreciation	73,043,549	26,809,540	19,309,300	13,180,379
Amortisations	14,105,170	8,294,374	8,065,251	2,016,313
Change in Fair Value of Investment in Subsidiaries	-	-	(255,824,286)	(144,739,157)
Depreciation of Right of use assets	-	36,974,927	-	14,220,593
Provision for Gratuity	21,043,479	17,972,070	11,000,004	6,223,066
Unrealised (Income)/Losses	(21,819,755)	(10,768,392)	-	-
(Increase)/Decrease in Debtors and Other Assets	(442,670,398)	(376,690,398)	(178,845,434)	(242,690,156)
Increase/(Decrease) Family Takaful (Long Term Insurance) Fund	291,402,866	48,400,856	-	-
Increase/(Decrease) in Unearned Contribution (Premium)	385,035,033	245,584,258	153,626,231	97,661,962
Increase/(Decrease) in IBNR & General Reserve Provision	(25,125,744)	(113,661,675)	(25,125,744)	(114,021,291)
Increase/(Decrease) in Claims Provision	383,653,323	230,339,219	34,118,892	43,798,619
Increase/(Decrease) in Other Creditors	880,586,811	383,566,674	191,463,114	247,419,806
Finance Cost Paid	(65,778,971)	(49,267,743)	(52,788,708)	(40,807,326)
Profit on Sale of Property, Plant & Equipment	-	(173,101)	-	(46,608)
(Gain)/Loss on Fair Value of Investment Property	-	(2,100,000)	-	(2,100,000)
Exchange (Gain)/Loss	(147,508,808)	(6,129,922)	(141,704,666)	(5,553,071)
Cash Flows from/(used in) Operating Activities	1,940,248,904	801,381,791	163,261,378	108,618,140

NOTE B
Increase/(Decrease) in Cash and Cash Equivalents

Cash at bank and in Hand and Cash Equivalents	1,164,215,136	728,693,696	174,338,587	335,033,678
Cash and Cash Equivalents at the end of the period	1,164,215,136	728,693,696	174,338,587	335,033,678
Cash and Cash Equivalents at the beginning of the year	728,693,696	567,505,853	335,033,678	249,275,887
Increase/(Decrease) in Cash and Cash Equivalents	435,521,440	161,187,843	(160,695,091)	85,757,791

STATEMENT OF FINANCIAL POSITION
FAMILY TAKAFUL / LIFE INSURANCE SEGMENT - SUPPLEMENTAL

AS AT	Unaudited 31.12.2022 Rs.	Audited 31.12.2021 Rs.
ASSETS		
Intangible Assets	20,231,817	17,420,164
Property, Plant and Equipment	21,478,544	25,769,256
Right of use of Asset	7,846,407	13,251,240
Investment Property	147,500,000	147,500,000
Financial Assets	1,050,885,165	880,303,822
Financial Assets - Unit Linked	2,426,521,530	2,121,644,837
Contribution (Premium) Receivable	36,821,236	35,952,417
Other Assets	36,217,122	37,907,895
Cash and Bank Balances	11,717,158	60,920,009
Cash and Bank Balances - Unit Linked	15,841,002	9,583,462
Total Assets	3,775,059,981	3,350,253,102
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	364,342,944	397,380,854
Insurance Contract Liability - Family Takaful Linked Unit Linked	2,466,292,845	2,149,698,432
Employee Benefits	13,257,303	13,614,072
Finance Lease Liability	8,768,470	14,209,487
Subordinated Debt	118,925,000	88,004,732
Other Liabilities	142,134,894	123,381,254
Other Liabilities - Unit Linked	118,930,337	80,207,746
Total Liability	3,232,651,793	2,866,496,576
SHAREHOLDERS' EQUITY		
Stated Capital	500,000,000	500,000,000
Other Reserves	11,998,572	11,998,572
Retained Earnings	30,409,616	(28,242,046)
Total Equity	542,408,188	483,756,526
Total Equity & Liability	3,775,059,981	3,350,253,102

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

1. Figures in the Interim Financial Statements for the period ended 31st December 2022 are provisional and unaudited.

2. These Interim Financial Statements of the Company and Group have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) prefixed both SLFRS (corresponding to IFRS) and LKAS (corresponding to IAS), promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

The same accounting policies and methods of computation as stated in the Annual Report 2021 have been followed in preparation of these Interim Financial Statements except for the below,

I) Application of Equity Accounting for Investment in Subsidiaries in Separate Financial Statements

The Company has voluntarily changed its accounting policy for investments in subsidiaries in Separate financial statement from Cost model to Equity Accounting with effect from 31st December 2022 in compliance to LKAS 27 Paragraph 10.

As per LKAS 8, Company will adjust the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied.

2.1 Comparative information has been re-valued/re-classified and restated where necessary, to confirm to the current period recognition, measurement and presentation.

3. Right of Use Lease Asset

3.1 Right of Use Lease Asset AS AT	Group		Company	
	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.
Balance as at 1st January	250,045,444	276,236,638	21,550,355	22,728,448
Additions & Improvements	-	24,891,920	-	22,834,910
Transfers from Lease hold to Free hold	-	(3,662,440)	-	-
Accumulated Depreciation	(47,344,294)	(63,655,913)	(14,477,347)	(24,013,003)
Exchange Gain/(Loss)	169,241,164	16,235,239	-	-
Closing Right of use lease asset as at 31st December	371,942,315	250,045,444	7,073,008	21,550,355

3.2 Lease Liability (Lease Creditor)

AS AT	Group		Company	
	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.
Balance as at 1st January	123,837,659	116,592,013	22,426,056	13,749,012
Additions & Improvements	-	25,035,844	-	22,834,910
Interest Expense recognised in Profit or Loss	12,441,670	11,826,068	2,551,401	4,046,891
Settlement through lease payment	(40,167,073)	(36,029,439)	(17,467,211)	(18,204,757)
Exchange Gain/loss	69,990,754	6,413,174	-	-
Closing lease Creditors at 31st December	166,103,010	123,837,659	7,510,245	22,426,056

4. Financial Assets

AS AT	Group		Company	
	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.
Financial Assets at Fair Value Through Profit or Loss (4.1)	422,617,580	261,226,028	46,282,152	55,637,527
Available For Sale Financial Assets (4.2)	1,795,831,127	622,910,087	41,746,407	36,866,944
Loans & Receivables (4.3)	4,874,013,461	3,050,781,599	1,285,233,734	954,104,302
	7,092,462,169	3,934,917,715	1,373,262,294	1,046,608,773

AS AT	Group		Company	
	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.
4.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	221,905,546	126,057,278	35,032,152	55,637,527
Investment in Bullion	200,712,034	135,168,750	11,250,000	-
	422,617,580	261,226,028	46,282,152	55,637,527
4.2 Available For Sale Financial Assets				
Investments in Equity Securities - Quoted	1,691,071,202	525,070,350	-	-
Unit Trust	104,234,925	97,314,737	41,221,407	36,341,944
Investments in Equity Securities - Unquoted	525,000	525,000	525,000	525,000
	1,795,831,127	622,910,087	41,746,407	36,866,944
4.3 Loans and Receivable				
Repurchase Agreements	1,464,062,512	552,148,257	465,438,580	286,876,657
Fixed Term Deposits	3,391,525,694	2,486,454,476	803,912,439	656,593,551
Advances to Company Officers	18,425,255	12,178,867	15,882,715	10,634,094
	4,874,013,461	3,050,781,599	1,285,233,734	954,104,302

NOTES TO THE FINANCIAL STATEMENTS

5. Financial Assets - Unit Linked

AS AT	Group		Company	
	Unaudited as at 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.	Unaudited as at 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.
Financial Assets at Fair Value Through Profit or Loss (5.1)	114,415,261	124,069,910	-	-
Available For Sale Financial Assets (5.2)	34,161,002	31,110,149	-	-
Loans & Receivables (5.3)	2,277,945,267	1,966,464,780	-	-
	2,426,521,530	2,121,644,837	-	-

AS AT	Group		Company	
	Unaudited as at 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.	Unaudited 31.12.2022 Rs.	Unaudited 31.12.2021 Rs.
5.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	62,665,261	116,476,160	-	-
Investment in Bullion	51,750,000	7,593,750	-	-
	114,415,261	124,069,910	-	-
5.2 Available For Sale Financial Assets				
Unit Trust	34,161,002	31,110,149	-	-
	34,161,002	31,110,149	-	-
5.3 Loans and Receivable				
Repurchase Agreements	60,519,310	32,343,266	-	-
Fixed Term Deposits	2,217,425,957	1,934,121,514	-	-
	2,277,945,267	1,966,464,780	-	-

6. Gross Written Contribution (Premium)

FOR THE YEAR ENDED 31 DECEMBER	Group		Company	
	Unaudited 2022 Rs.	Unaudited 2021 Rs.	Unaudited 2022 Rs.	Unaudited 2021 Rs.
6.1 Non-Life (General Takaful)				
Motor	1,842,263,816	1,276,226,613	1,658,716,416	1,196,906,770
Fire	887,879,032	663,024,788	360,576,990	321,980,329
Marine	870,882,651	425,536,856	513,884,241	271,431,364
Medical	2,996,977,866	1,484,257,874	537,265,778	408,509,858
Miscellaneous	601,297,720	399,715,766	288,491,741	244,461,690
	7,199,301,084	4,248,761,897	3,358,935,166	2,443,290,012
6.2 Long Term Insurance (Family Takaful)				
Unit Linked	996,975,848	849,780,045	-	-
Family Takaful	30,945,388	38,990,512	-	-
Mortgage & Group Family Takaful	31,701,961	41,059,921	-	-
	1,059,623,197	929,830,479	-	-
Total Gross Written Premium	8,258,924,281	5,178,592,376	3,358,935,166	2,443,290,012

7. Revenue

7.1 Revenue by Segment

FOR THE YEAR ENDED 31 DECEMBER	Group		Company	
	Unaudited 2022 Rs.	Unaudited 2021 Restated Rs.	Unaudited 2022 Rs.	Unaudited 2021 Restated Rs.
Segment				
Amana Takaful PLC	2,691,545,258	1,924,322,348	2,691,545,258	1,924,322,348
Amana Takaful Life PLC	1,461,742,522	1,144,433,669	-	-
Amana Takaful (Maldives) PLC	3,110,302,613	1,388,214,586	-	-
Amana Global Ltd	2,737,816	3,579,803	-	-
Eliminations	(327,534,267)	(189,482,702)	-	-
	6,938,793,941	4,271,067,704	2,691,545,258	1,924,322,348

7.2 Revenue

FOR THE YEAR ENDED 31 DECEMBER	Group		Company	
	Unaudited 2022 Rs.	Unaudited 2021 Restated Rs.	Unaudited 2022 Rs.	Unaudited 2021 Restated Rs.
Gross written Contribution (Premium)	8,258,924,281	5,178,592,376	3,358,935,166	2,443,290,012
Less :				
Retakaful Contribution (Reinsurance Premium)	(2,086,328,262)	(1,234,273,694)	(1,144,777,587)	(739,494,217)
Net Written Contribution (Premium)	6,172,596,019	3,944,318,683	2,214,157,579	1,703,795,794
Net Change in Reserve for Un-Earned Contribution (Premium)	(385,035,033)	(245,584,258)	(153,626,231)	(97,661,962)
Net Earned Contribution (Premium)	5,787,560,985	3,698,734,424	2,060,531,347	1,606,133,832
Income from investments	710,127,910	360,762,572	149,932,576	113,829,769
Change in Fair Value of Investment in Subsidiaries	-	-	255,824,286	144,739,157
Other income	441,105,046	211,570,708	225,257,048	59,619,590
Total Revenue	6,938,793,941	4,271,067,704	2,691,545,258	1,924,322,348

NOTES TO THE FINANCIAL STATEMENTS

8. The Company is in the process of conducting the annual valuation of the insurance contract liabilities Life(FamilyTakaful) by the consultant actuary for the period ended 31st December 2022.

9. The Company is in the process of conducting the actuary valuations for Insurance Contract Liabilities - Non-Life Fund, Investment Properties and Employee Benefit as of 31st December 2022 and is yet to receive the results from the actuaries.

10. Profit/ (Loss) Before Taxation by Segment

FOR THE YEAR ENDED 31 DECEMBER	Group		Company	
	Unaudited 2022	Unaudited Restated 2021	Unaudited 2022	Unaudited Restated 2021
Segment				
Amana Takaful PLC	347,178,716	193,247,686	347,178,716	193,247,686
Amana Takaful Life PLC	52,683,607	9,558,915	-	-
Amana Takaful Maldives PLC	446,818,305	285,665,287	-	-
Amana Global Ltd	(100,800)	(640,081)	-	-
Eliminations	(318,076,451)	(174,868,447)	-	-
Total	528,503,377	312,963,360	347,178,716	193,247,686

11. Cash and Cash Equivalents in Statement of Cash Flow

AS AT	Group		Company	
	Unaudited 31.12.2022	Audited 31.12.2021	Unaudited 31.12.2022	Audited 31.12.2021
Cash and Bank Balances	216,470,881	166,961,978	66,797,456	48,157,021
Cash and Bank Balances - Unit Linked	15,841,002	9,583,462	-	-
Investment in Government Securities	1,164,215,136	552,148,257	174,338,587	286,876,657
	1,396,527,019	728,693,696	241,136,043	335,033,678

12. 12.1 Amana Takaful PLC is liable to income tax at 30% (2021 - 24%)

12.2 Amana Global Ltd is liable to income tax at 30% (2021 -15%)

12.3 Amana Takaful Maldives PLC is liable to income tax at 15% (2021 - 15%)

12.4 Amana Takaful Life PLC is liable for income tax at 30% (2021 - 24%)

13. Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly Amana Takaful PLC recognized taxable loss during the financial year 2022 is NIL and the recognised tax losses of which Deferred Tax Asset was not recognized in 2021 amounting to Rs.1,264,965,235/- will be carried forward for another five years.

14. The nature of related party transactions in the current period is similar to those reported in the Annual Report 2021.

15. There has not been a significant change in the assets pledged as disclosed in the Annual Report 2021.

16. Comparative figures have been restated wherever necessary to conform to the current periods presentation.

17. There has not been a significant change in the nature of the contingent liabilities as disclosed in the Annual Report 2021.

18. No events have occurred since the reporting date that necessitates adjustments to or disclosure in the Financial Statements.

19. In terms of Direction for Identification and Treatment of One-Off Surplus issued by the Insurance Regulatory Commission of Sri Lanka (Direction # 16 – 20.03.2018), the Long-Term Insurance Business of the Company has generated a One-Off Surplus of Rs.28,963,821 as at 1st January 2016. The One-Off Surplus amount remaining after relevant additions and deductions is retained in the Policyholders Liability in the Long Term Insurance Fund

20. Related Implications of Increasing Foreign Exchange, Interest and Inflation Rates

Sri Lanka has been facing a foreign exchange crisis due to the adverse economic impacts of the Covid-19 pandemic and it has grown from acute to severely acute during the financial period ended 31st December 2022. The deterioration of foreign reserves is putting pressure on exchange rates to depreciate in the market. Sri Lankan Rupee (LKR) has depreciated notably against USD during the FY 2022. The direct exposure to foreign exchange rates of the Group is minimum due to the limited transactions carried out with foreign counter parties and the Group continues to monitor its effects on financial statements under various stressed scenarios.

Sri Lanka's annual inflation has increased significantly and will continue to increase further. As a response to the prevailing economic crisis and inflation, the Central Bank of Sri Lanka (CBSL), has implemented a tightening Monetary Policy while increasing policy rates. Yields on Government securities have also increased notably to reflect market conditions in view of the higher financing requirement of the Government. Whilst inflation will cause interest rates to move upwards, the Group being in the Insurance sector will gain benefits from investment income while experiencing a negative impact due to fluctuation in market value of financial assets and expenses.

The Board continues to monitor the potential implications of these factors on the groups business activities, profitability, solvency and liquidity position and will take proactive action to meet future obligations and ensure business continuity.

21. Stated Capital as at 31st December 2022 is represented by shares in issue as given below:

	Unaudited 31.12.2022	Unaudited 31.12.2021
Number of shares as at		
Ordinary shares - Voting	180,000,130	180,000,130

22. Share Information

	Group		Company	
	31.12.2022	31.12.2021	31.12.2022	31.12.2021
	Rs.	Rs.	Rs.	Restated Rs.
Net asset value per share	15.41	9.52	15.20	8.95
Market price per share as at	12.20	12.70	-	-
Highest price per share for the per `	14.00	14.60	-	-
Lowest price per share for the period	10.10	9.10	-	-

NOTES TO THE FINANCIAL STATEMENTS

Twenty five Largest Shareholders as at 31st December 2022

Name of Shareholder	No. of Shares	%
Seylan Bank Plc/Senthilverl Holdings (Pvt) Ltd	32,646,350	18.14
Mr. Sattar Kassim	30,861,752	17.15
Amana Bank Plc/Mr.Osman Kassim	30,500,000	16.94
Amana Bank Plc/Mr. Shafik Kassim	30,468,567	16.93
Amana Bank Plc	27,009,180	15.01
Aberdeen Holdings (Private) Limited	14,156,108	7.86
Falcon Trading (Pvt) Ltd	2,861,302	1.59
Mr. Osman Kassim	2,382,423	1.32
Seylan Bank Plc/Jayantha Dewage	414,308	0.23
Mrs. Nabeela Haroon	270,000	0.15
Mr. Gajath Chrysanth Goonetilleke	256,031	0.14
Mr. Mohamed Hussain Mohamed Faizer	185,248	0.10
Mr. Amirally Lukmanjee	168,621	0.09
Mr. Kali Mudiyanselegedara Seyyadu Mohamed Razik	150,292	0.08
Mr. Wanniachchige Lal Thilakasiri Anandawansa	121,206	0.07
Commercial Bank Of Ceylon Plc/S.A.Gulamhusein	113,757	0.06
Mrs. Pattinideva Asoka Swarna Kanthie Beruwalage	100,604	0.06
Mr. Mohamed Sajjad Mawzoon	100,000	0.06
Mr. Sithambaram Pillai Jayakumar	99,179	0.06
Mrs. Khairunnissa Kassim	97,920	0.05
Mr. Thevamoorthy Ravi	90,000	0.05
Sampath Bank Plc/Mr. Abishek Sithampalam	78,605	0.04
Mr. Sugathadasa Ruwanpathirana	77,824	0.04
Mr. Periyasaami Pillai Thevarajah	77,000	0.04
Mr. Sithambaram Pillai Jayakumar/Mrs. P. Meena	75,000	0.04
	173,361,277	96.31
Others	6,638,853	3.69
Total	180,000,130	100

Public Shareholding

31.12.2022

Float Adjusted Market Capitalisation (Rs.)*	2,023,165,552
Percentage of Shares held by the Public	92.13%
Number of Public Shareholders	4719

The Company Complies with the minimum public shareholding required under option 02 of section 7.13.1 (b) of the Listing

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

Directors' Shareholdings

	No. of Shares 31.12.2022	No. of Shares 31.12.2021
Mr. M. Zulficar Ghouse - Chairman	Nil	Nil
Mr. M.H.S. Kassim - Managing Director	10,780	10,780
Mr. Syed Rizwan Hussain	Nil	Nil
Ms.E. D. Wickramasuriya	Nil	Nil
Mr. Thilan Manjith Wijesinghe	Nil	Nil
Mr. Abdullah Kassim	Nil	Nil
Mr. Padmesh Sajjeewa Weerasekera	Nil	Nil

CEO's Shareholding

Mr. Ahmed Shehan Feisal - CEO	Nil	Nil
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CORPORATE INFORMATION

NAME OF THE COMPANY

Amana Takaful PLC

REGISTERED OFFICE

No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

LEGAL STATUS

Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act, No. 07 of 2007 on 27th June 2007.

SUBSIDIARY

Amana Takaful Life PLC

No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

Amana Takaful (Maldives) PLC

H. Mialani, Sosun Mogu, Male, Republic of Maldives

COMPANY REGISTRATION NUMBER

PQ 23

TAX PAYER IDENTIFICATION NUMBER(TIN)

134007958

Amana Global Limited

No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka

AUDITORS

Ernst & Young Chartered Accountants

STOCK EXCHANGE LISTING

The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka in November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.

CONSULTANT ACTUARIES - LONG-TERM INSURANCE

Actuarial Partners Consulting Sdn Bhd

Suite 17.02 Kenanga International

Jalan Sultan Ismail

50250 Kuala Lumpur, Malaysia

DIRECTORS

Mr. M. Zulficar Ghouse - Chairman

Mr. M.H.S. Kassim - Managing Director

Mr. Syed Rizwan Hussain

Mrs.E. D. Wickramasuriya

Mr. Thilan Manjith Wijesinghe

Mr. Abdullah Osman Kassim

Mr. Padmesh Sajjeewa Weerasekera

CONSULTANT ACTUARIES – GENERAL INSURANCE

Actsure Lab (Pvt) Limited

No 11/2, 1st Lane Pagoda Road

Nugegoda

Sri Lanka

REINSURANCE PANEL

Swiss Reinsurance Company Ltd

Labuan Reinsurance (L) Ltd, Labuan, Malaysia

Asian Re

Saudi Re

Tunis Re

Ocean Re

Hannover Re

Munich Re

Score Re

SHARIAH ADVISORY COUNCIL

Mufti M.I.M. Rizwe - Chairman

Mufti Shafique Ahmed Jakhura - Member

Ash-Sheikh Murshid Mulaffar- Secretary

CHIEF EXECUTIVE OFFICER - ATPLC

Mr. Ahmed Shehan Feisal

CHIEF EXECUTIVE OFFICER - ATLPLC

Mr. Gehan Shivantha Rajapakse

CHIEF EXECUTIVE OFFICER - ATMPLC

Mr. Hareez Sulaiman

SECRETARIES

Managers & Secretaries (Pvt) Ltd

PRINCIPAL BANKERS

Amana Bank PLC/Pan Asia Bank/National Development Bank/

Bank of Ceylon/Commercial Bank/Sampath Bank/Hatton National Bank

/Nations Trust Bank/ Seylan Bank/MCB Bank